

Purchasing EmPowerment: the way to achieve world-class purchasing

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Introduction

Purchasing has grown considerably in stature in past decades. Its contribution to an organization's long-term success and strategy is increasingly well recognized. Increasingly more companies are aware of the importance of permitting purchasing to move away from being a cost-cutting function to becoming a strategic entity that helps companies achieve the highest performance standards.

Roland Berger's comprehensive approach, 'Purchasing EmPowerment' (PEP), helps purchasing to reach performance excellence. PEP moves beyond cost cutting, which is usually short-term in nature and focuses on specific actions or commodities within a distinct project, and hones in on long-term sustainable improvements along the process chain. In this strategic approach, the focus is on overall costs and company value. Procurement influences more than 50 percent of a company's total cash cost: depending on the industry and project aims, PEP can achieve savings up to 70 percent of important commodity or category groups.

For purchasing organizations to become first class, they need to estimate their current performance carefully. Development potential should be based on benchmarks to own and similar industries, competitors, and suppliers, as well as from internal resources. Although the prospect can be daunting, this enables a company to gauge its performance gaps. Only once this has been accomplished can a company develop an individually tailored, step-by-step plan for purchasing that charts out the optimal elements for reaching the desired goal.

Important steps along that path are the improvement of commodity groups, structure and processes, and working with suppliers. When assessing companies, project teams consider how much they spend on commodities, suppliers, and resources. This assessment can be carried out on a company, regional or divisional level. To gain a comprehensive view, an external assessment covering internal customers, external suppliers, competitor benchmarks, and additional stakeholders is conducted. This knowledge provides clues about the opportunities available to companies' purchasing departments, and their impact.

The initial step – managing commodities strategically – focuses on unit costs. Here, purchasing levers are examined to see whether they can be used in conjunction with a particular commodity for performance gains. The second step – optimizing purchasing organization processes – deals with process costs. It puts organizations in good stead by making processes leaner, establishing purchasing as an organizational function, making information transparent, and training as well as motivating staff. The final step – managing suppliers – deals with the entire value chain. Strategic supplier management improves the supply chain in both quantitative and qualitative terms.

Companies that work through all three steps tend to be more competitive than their counterparts. This article examines all three phases in detail. Project examples are given to illustrate how the changes can be implemented in real-life business situations and the benefits those changes can bring.

Strategic commodity management – 6-lever approach to optimizing costs

Although the status of purchasing has increased in past years, all too often other functions underestimate what it can achieve. If purchasing consistently pushed through large cost-saving programs and communicated its achievements in driving down the cost base, its standing would improve. Numbers speak the clearest language in the business world.

One of the most successful ways purchasing can reduce costs is by properly managing commodities. Strategic commodity management is simply about finding the most relevant purchasing strategy for important goods. It is about applying a tailored set of differentiated procurement levers to commodities in the right sequence at the right time in order to reduce total cost.

To accomplish this, companies need to assess their sourcing behavior by segmenting the vast array of commodity groups within the portfolio. Each commodity or category is then assessed in terms of business impact and supply market challenge, and is placed in a matrix. Business impact is